

Notes: Besley, Dann, and Dray (QJE, 2026)

Growth Experiences and Trust in Government

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1 Big picture

- **Question.** The paper asks whether people who experience stronger economic growth over their lives become more trusting of government. The object is political trust, not interpersonal trust.
- **Core idea.** Citizens observe economic performance over their lifetimes and partly attribute good or bad growth outcomes to the quality of government. Growth becomes an input into beliefs about government competence and trustworthiness.
- **Data contribution.** The authors assemble a harmonized global opinion-survey data set covering about 3.3 million usable respondents, 166 countries, and survey waves since 1990, combining eleven major survey sources. They also study the United States separately using the American National Election Studies and Switzerland using the Swiss Household Panel.
- **Experience measure.** For every respondent, the paper calculates a lifetime GDP-per-capita growth experience using the Malmendier–Nagel experience-weighting approach. The baseline puts more weight on recent growth, with a linear decay of memory over the life cycle.
- **Main finding.** A one-standard-deviation increase in lifetime growth experience, about a two percentage point increase in lifetime growth in the global data, is associated with a 0.042 standard deviation increase in trust in government, equivalent to roughly 2.1 percentage points in the probability of trusting government.
- **Robustness.** The relationship survives rich fixed effects, alternative survey sources, alternative growth data, controls for other politico-economic experiences, and single-country designs for the United States and Switzerland.
- **Mechanism evidence.** Higher growth experience is associated with greater trust in state institutions, lower perceived government corruption, better perceived income circumstances, and greater satisfaction with living standards.
- **What it is not.** Growth experience does not similarly increase generalized interpersonal trust or trust in religious organizations. The result is political, not a broad pro-social trust channel.
- **Memory result.** Recent experiences matter more than early-life or formative-year experiences. Specifications that give positive weight to recent events fit better than equal-weight or early-life-weighted alternatives.
- **Placebo and salience.** Pre-birth growth has no effect. Negative growth episodes reduce trust, growth accelerations can raise trust, and countries with prolonged post-2008 negative growth see large declines in aggregate trust.
- **Trust paradox.** Average trust in government is lower in democracies than autocracies, but growth experiences have their strongest positive effects in democracies. Democracy seems to generate skepticism, but credible growth performance still builds trust.
- **Economic takeaway.** Growth can reinforce the social contract. Low growth can erode political trust, which may then make future policy compliance and growth-enhancing reforms harder.

2 Data and measurement

2.1 Harmonized global survey data

- The global data set harmonizes trust responses from eleven survey families: Afrobarometer, Americas-barometer, Arabarometer, Asiabarometer, European Social Survey, Gallup World Poll, Integrated Values Survey, Latinobarometer, Life in Transition Survey, South Asia Barometer, and World Justice Project.
- The raw harmonized data include around 3.7 million people with some measure of trust/confidence in government. The core regression sample is about 3.3 million after imposing growth-experience coverage and covariate restrictions.
- The paper uses survey waves going back to 1990 and covers 166 countries.
- Trust questions differ slightly across surveys. Some ask about “trust” while others ask about “confidence.” The authors show that survey averages are highly consistent across sources.

Interpretation: The harmonization is essential because a single international survey would not cover enough countries, years, and cohorts. The cost is that measurement differs across sources; the paper addresses this with survey-by-year fixed effects and robustness using only Gallup.

2.2 Main outcome: trust in government

- The dependent variable is a dummy for whether a respondent expresses trust or confidence in government.
- For the global data, the object is trust in the national government or comparable state institution.
- For the United States, the main outcome is trust in the federal government from the ANES.
- For Switzerland, the main outcome is confidence in the federal government from the SHP.

Interpretation: The paper deliberately focuses on government trust rather than interpersonal trust. This is important because the mechanism is attribution of macroeconomic performance to government, not a generic change in social trust.

2.3 Alternative outcomes and perceptions

The paper studies several alternative outcomes to test interpretation:

- generalized trust in others;
- trust in religious organizations;
- a trust-in-state-institutions index;
- perception that government is corrupt;
- whether the respondent feels comfortable on current income;
- satisfaction with standard of living.

Interpretation: These outcomes separate two hypotheses. If growth creates general optimism, it might raise all forms of trust. If citizens attribute growth to government, the effect should be concentrated on political trust and government-performance perceptions.

2.4 Individual characteristics and sample restrictions

- The core regressions control for sex, marital status, education, and religious denomination.
- They include age dummies so that trust differences are not mechanically attributed to age.
- They include log GDP per capita in the respondent's year of birth to account for convergence dynamics and initial income conditions.
- The core sample keeps respondents with at least 90 percent coverage of lifetime growth information.
- Respondents are assumed to have grown up in the country surveyed unless birthplace information is available. The Gallup subsample verifies that this assumption is not driving results.

Interpretation: The design is built around country-cohort variation. Controls are used to reduce confounding by age, cohort, education, baseline development, and survey design.

2.5 Economic growth data

- The main growth data come from the Maddison Project Database.
- Growth is measured as annual changes in real log GDP per capita.
- Alternative growth-data checks use Penn World Tables and Barro-Ursua data.
- For the United States and Switzerland, the authors add historical series for inflation, stock-market returns, unemployment, and income inequality to test competing lifetime experiences.

Interpretation: GDP-per-capita growth is the central treatment-like experience. It is not an individual income shock. The mechanism is macroeconomic performance attributed to government.

2.6 Cross-country descriptive patterns

- Figure III maps country-level trust in government. Trust is high in several East Asian and authoritarian or managed-capitalism contexts, and lower in many stagnating or post-crisis economies.
- Figure IV compares average trust in government with ten-year average growth between 2009 and 2019.
- These figures are descriptive only. They motivate the empirical strategy but cannot identify cohort-level effects because cross-country trust can be driven by institutions, culture, media, conflict, and other omitted factors.

Interpretation: Cross-country averages suggest the relationship, but the identification must come from comparing cohorts with different growth experiences within countries and over time.

3 Experience measures and empirical specifications

3.1 Lifetime growth experience

For individual i , birth cohort b , country c , survey year t , and survey source s , lifetime growth experience is

$$\bar{g}_{ibcts} = \frac{\sum_{k=1}^{age_{ibct}-1} w_{ibct}(k, \lambda) g_{bc,t-k}}{\sum_{k=1}^{age_{ibct}-1} w_{ibct}(k, \lambda)}, \quad (1)$$

where

$$w_{ibct}(k, \lambda) = (age_{ibct} - k)^\lambda, \quad g_{bc,t-k} = \Delta y_{bc,t-k}. \quad (2)$$

Here y is real log GDP per capita, and k is years before the survey.

Interpretation: If $\lambda > 0$, recent growth receives more weight. If $\lambda = 0$, all years receive equal weight. If $\lambda < 0$, growth close to birth receives more weight. The baseline sets $\lambda = 1$, meaning memory decays linearly.

Following [Malmendier and Nagel \(2011\)](#), we measure cohort experiences with economic growth within countries using the following equation:

$$(1) \quad \bar{g}_{ibcts} = \frac{\sum_{k=1}^{age_{ibct}-1} w_{ibct}(k, \lambda) g_{bct-k}}{\sum_{k=1}^{age_{ibct}-1} w_{ibct}(k, \lambda)},$$

where $w_{ibct}(k, \lambda) = (age_{ibct} - k)^\lambda$ and $g_{bct-k} = \Delta y_{bct-k}$, with y_{bct-k} representing (real) log GDP per capita in levels. For individual i in birth cohort b in country c up to survey year t in survey s , we take

Original excerpt: lifetime growth-experience measure.

3.2 Baseline $\lambda = 1$ interpretation

With $\lambda = 1$, the paper writes the experience measure in a simplified form:

$$\bar{g}_{ibcts} = \frac{y_{c,t-1} - \bar{y}_{bc,t-2}}{age_{bt}/2}. \quad (3)$$

Interpretation: This makes the measure intuitive. A respondent's growth experience compares recent income per capita with the average income level over the respondent's life, scaled by the midpoint of life. Younger people are more sensitive to recent deviations because they have shorter histories.

is:

$$\bar{g}_{ibcts} = \frac{y_{ct-1} - \bar{y}_{bct-2}}{\left(\frac{age_{bt}}{2}\right)}.$$

Individual of cohort b in country c this represents

Original excerpt: simplified experience formula when $\lambda = 1$.

3.3 Baseline global specification

The core specification is

$$\tau_{ibcts} = \gamma_c + \delta_{ts} + \alpha_{br} + \phi y_{bc} + \beta \bar{g}_{ibcts} + \eta X'_{ibcts} + \varepsilon_{ibcts}. \quad (4)$$

- τ_{ibcts} is a trust-in-government dummy.
- γ_c are country fixed effects.

- δ_{ts} are survey-year-by-survey fixed effects.
- α_{br} are subcontinent-by-birth-cohort fixed effects.
- y_{bc} is log GDP per capita at year of birth.
- X_{ibcts} includes individual characteristics.
- β is the coefficient of interest.

Interpretation: The coefficient β compares individuals with different lifetime growth experiences while holding fixed country, survey-year/source conditions, broad cohort-by-region effects, baseline development, age, and demographics. The identifying variation is cohort-specific exposure to growth histories.

$$(3) \quad \tau_{ibcts} = \gamma_c + \delta_{ts} + \alpha_{br} + \phi y_{bc} + \beta \bar{g}_{ibcts} + \eta \mathbf{X}'_{ibcts} + \varepsilon_{ibcts},$$

where τ_{ibcts} is a dummy for trust/confidence in government of individual i in year of birth h of country c in survey year t responding

Original excerpt: baseline global regression.

3.4 Identification logic

- The design does not rely on cross-country differences in average trust alone.
- It exploits the fact that different birth cohorts in the same country have lived through different growth histories.
- Survey-year fixed effects absorb common global changes in trust and survey timing.
- Country fixed effects absorb time-invariant national culture, institutions, and history.
- Subcontinent-by-cohort fixed effects absorb broad regional cohort trends.
- More demanding specifications add country-by-survey-year and country-by-age fixed effects, effectively comparing cohorts within country-years.

Interpretation: The central identifying assumption is that, conditional on fixed effects and controls, cohort-specific lifetime growth experience is not proxying for other cohort-level forces that independently shift political trust.

3.5 Event-study specification for the 2008 crisis

For the 2008 financial-crisis exercise, the paper uses a fixed-effects counterfactual imputation framework:

$$\tau_{c,t}(0) = f(X_{c,t}) + h(U_{c,t}) + \epsilon_{c,t}, \quad (5)$$

where $\tau_{c,t}(0)$ is the untreated potential outcome for country-year average trust. The authors estimate counterfactuals using two-way fixed effects, interactive fixed effects, and matrix completion.

Interpretation: This exercise is different from the lifetime-cohort regressions. It asks whether countries that enter sustained negative growth after the 2008 crisis see aggregate trust fall relative to imputed counterfactual trends.

imating the following specification, $\tau_{c,t}(0) = f(\mathbf{X}_{c,t}) + h(\mathbf{U}_{c,t}) + \varepsilon_{c,t}$, using all nontreated cells in the data set, where $\tau_{c,t}$ refers to average trust in government in country c of year t ; $f(\mathbf{X}_{c,t})$ and $h(\mathbf{U}_{c,t})$ are flexible functions for observables and unobservables, respectively; and $\varepsilon_{c,t}$ is an idiosyncratic error term. We use three different modeling procedures to estimate $\hat{f}$ and $\hat{h}$ for imputing counterfactual outcomes, $\hat{\tau}_{c,t}(0)$, in the treatment group: standard two-way fixed effects (FE), alongside factor-augmented models via Bai's (2009) interactive fixed effects (IFE) and Athey et al.'s (2021) matrix completion (MC).⁶¹

The results are shown in Figure VII. Recall that the definition of our treatment variable allows for reversals in treatment assignment. Hence, the coefficients during the posttreat-

Original excerpt: fixed-effects counterfactual setup for the 2008 crisis exercise.

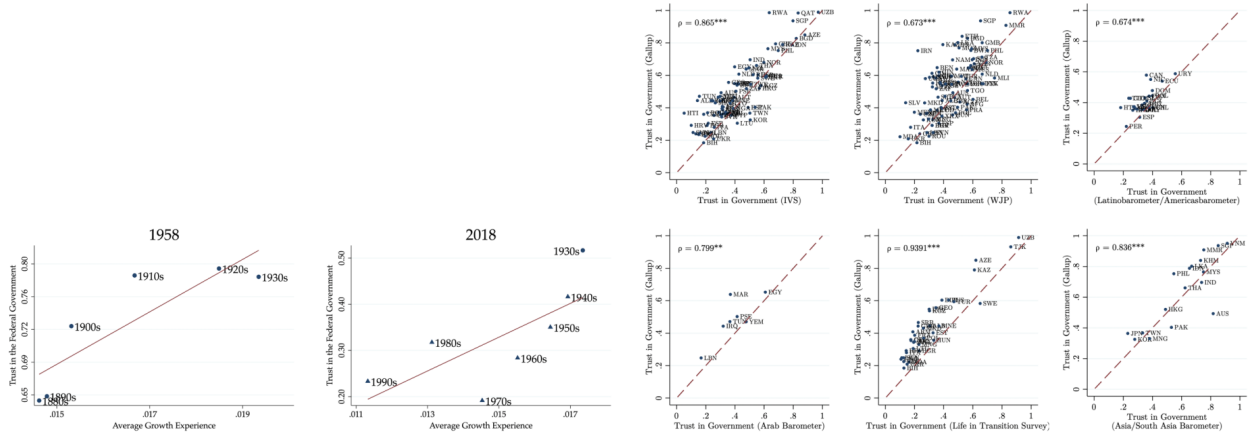
4 Main global findings and robustness

4.1 Motivating evidence and survey consistency

Read: Figure I. The U.S. cohort scatterplots compare 1958 with 2018. In both years, cohorts with stronger lifetime growth experiences have higher trust in the federal government. The 2018 panel shows younger cohorts with weaker growth experiences and lower trust.

Read: Figure II. Cross-survey correlations in trust measures are high. This supports pooling surveys despite wording differences such as “trust” versus “confidence.”

Economic message: Figure I illustrates the paper’s core intuition: lifetime economic experience is connected to political trust. Figure II justifies the global harmonization needed for the main sample.



(a) Figure I: U.S. cohort differences in trust and growth experience

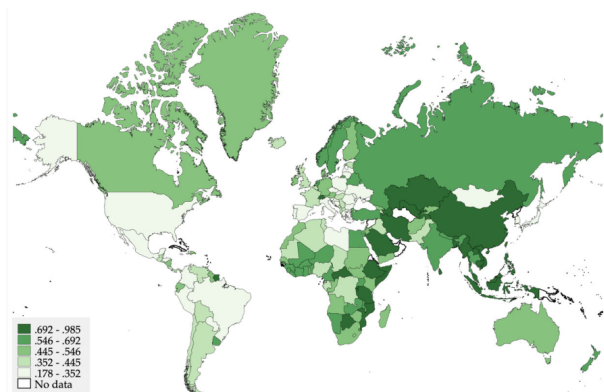
(b) Figure II: consistency of survey trust averages

4.2 Cross-country patterns

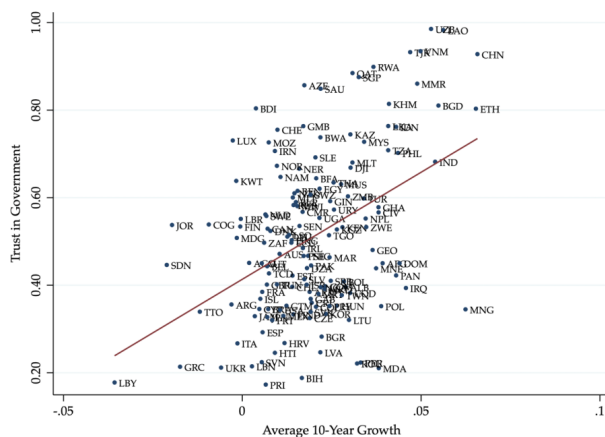
Read: Figure III. The map shows large cross-national variation in trust in government. Trust tends to be high in several high-growth or state-led-growth contexts and low in some stagnating or crisis-affected contexts.

Read: Figure IV. The country-level scatter links average trust between 2009 and 2019 to ten-year growth over the same period. It is descriptive, but it motivates the deeper cohort design.

Economic message: Cross-country averages are suggestive but potentially confounded. The paper moves from these raw patterns to cohort-level variation to make the evidence more credible.



(a) Figure III: global distribution of trust in government



(b) Figure IV: average trust and 10-year growth

4.3 Cohort variation and the baseline regression

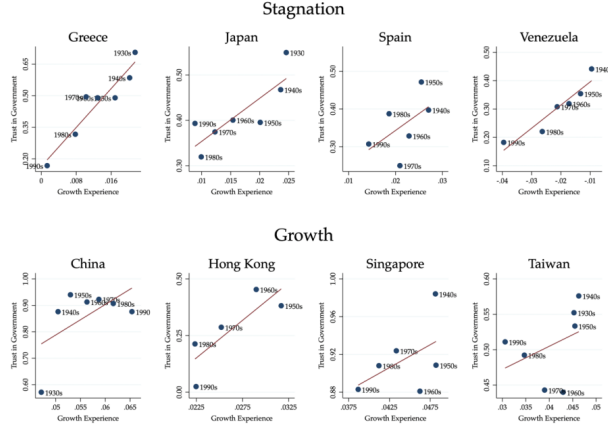
Read: Figure V.

- The top row features economies with prolonged stagnation or severe downturns: Greece, Japan, Spain, and Venezuela.
- The bottom row features growth success stories: China, Hong Kong, Singapore, and Taiwan.
- Within each country, cohorts with stronger growth experiences tend to express higher trust in government.

Read: Table I.

- Column (1) estimates 0.042***: a one-standard-deviation increase in growth experience raises trust in government by 0.042 standard deviations, about 2.1 percentage points.
- Columns (2) and (3) add stronger fixed effects. The coefficient falls to 0.012* and 0.015** but remains statistically significant.
- Columns (4)–(6) use only Gallup. Column (4) gives a larger estimate of 0.072***, about a 3.6 percentage point increase.
- The effect is not removed by country fixed effects, age fixed effects, survey-year-by-survey fixed effects, subcontinent-by-cohort fixed effects, country-by-survey-year fixed effects, or country-by-age fixed effects.

Economic message: The baseline result is robust: lifetime growth experience predicts political trust even after controlling for broad country, cohort, survey, and age patterns.



(a) Figure V: cohort variation within countries

TABLE I
LIFETIME GROWTH EXPERIENCES AND TRUST IN GOVERNMENT

	Trust in government					
	(1)	(2)	(3)	(4)	(5)	(6)
Growth experience	0.042*** (0.015)	0.012* (0.007)	0.015** (0.006)	0.072*** (0.017)	0.013* (0.007)	0.017** (0.008)
Observations	3,339,837	3,339,837	3,339,639	1,807,435	1,807,435	1,807,208
R ²	0.125	0.166	0.170	0.123	0.165	0.172
Country FE	Yes	No	No	Yes	No	No
Age FE	Yes	Yes	No	Yes	Yes	No
Survey year FE × survey FE	Yes	Yes	Yes	Yes	No	No
Subcontinent FE × cohort FE	Yes	Yes	Yes	Yes	Yes	Yes
Country FE × survey year FE	No	Yes	Yes	No	Yes	Yes
Country FE × age FE	No	No	Yes	No	No	Yes
Sample	Harmonized	Harmonized	Harmonized	Gallup	Gallup	Gallup

Note: Robust standard errors clustered at the country level are in parentheses. All coefficients are standardized. Sample "Harmonized" in columns (1)–(3) refers to using our full harmonized data set. Columns (4)–(6) use only the Gallup World Poll (here, survey year FE × survey FE simply represents survey year fixed effects given Gallup is the only survey). All specifications include log GDP per capita at year of birth and dummies for individual characteristics: sex, marital status, religious denomination, and education level. See [Online Appendix A](#) for summary statistics and more details on variables. * $p < .1$, ** $p < .05$, *** $p < .01$.

(b) Table I: baseline trust-in-government regressions

4.4 Alternative trust measures and government-performance perceptions

Read: Table II.

- Growth experience has no effect on interpersonal trust: coefficient -0.009 .
- Growth experience has no effect on trust in religious organizations: coefficient 0.004 .
- Growth experience raises trust in state institutions: 0.041^{***} .
- Growth experience lowers perceived government corruption: -0.036^{***} .
- Growth experience improves perceived personal income circumstances: 0.062^{***} .
- Growth experience increases satisfaction with standard of living: 0.093^{***} .

Read: Figure VI.

- The paper compares growth experience with other lifetime politico-economic experiences such as unrest, executive turnover, epidemics, banking crises, currency crises, financial crises, inflation, and inflation volatility.
- Growth experience remains positive across these specifications.
- Many other experiences are negative or imprecisely estimated, but they do not eliminate the growth-trust relationship.

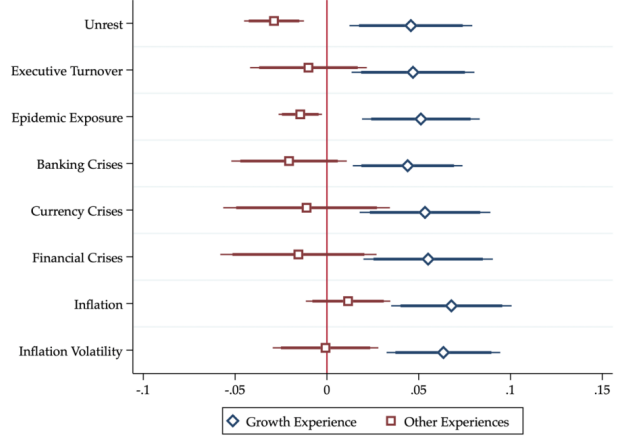
Economic message: The channel is not generic optimism or social trust. It is targeted toward government and government performance, consistent with citizens partly attributing macroeconomic outcomes to government.

TABLE II
LIFETIME GROWTH EXPERIENCES AND ALTERNATIVE TRUST MEASURES AND PERCEPTIONS

	Other trust measures			Other perceptions		
	Trust in others (1)	Trust religious organizations (2)	Trust state institutions (3)	Government corrupt (4)	Feelings on income (5)	Standard of living (6)
Growth experience	-0.009 (0.009)	0.004 (0.012)	0.041*** (0.014)	-0.038*** (0.011)	0.062*** (0.017)	0.093*** (0.015)
Observations	1,298,261	1,550,592	2,862,360	1,658,369	1,768,391	1,807,639
R ²	0.136	0.182	0.108	0.188	0.179	0.144
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Survey year FE × survey FE	Yes	Yes	Yes	Yes	Yes	Yes
Subcontinent FE × cohort FE	Yes	Yes	Yes	Yes	Yes	Yes
Sample	Harmonized	Harmonized	Harmonized	Gallup	Gallup	Gallup

Notes: Robust standard errors are clustered at the country level in parentheses. All dependent variables are dummy variables. "Trust in others" refers to the standard interpersonal/generalized trust question across surveys. "Trust religious organizations" refers to a harmonized variable across Gallup, the IYS, LIPS, and Latinobarometro on the extent to which individuals express trust/confidence in religious organizations (e.g., the church). "Trust state institutions" is a principal component across surveys with non-missing data on trust/confidence in political institutions (a dummy is then created based on respondents being above or below the median of the distribution). "Government corrupt" is a dummy based on the question in Gallup "Is corruption widespread throughout the government in this country?" or "not" with one representing yes and zero a no. "Feelings on income" refers to whether respondents are "living comfortably on present income" or "getting by on present income" relative to "finding it difficult on present income" and "finding it very difficult on present income" from Gallup. "Standard of living" refers to whether individuals respond as satisfied to the question "Are you satisfied or dissatisfied with your standard of living, all the things you can buy and do?" in Gallup. Columns (4)–(6) only use the Gallup World Poll data, survey year FE × survey FE simply represents survey year fixed effects given Gallup is the only survey. All specifications include log GDP per capita at year of birth and dummies for individual characteristics: age, sex, marital status, religious denomination, and education level. * $p < .1$, ** $p < .05$, *** $p < .01$.

(a) Table II: alternative trust/perception outcomes



(b) Figure VI: other politico-economic lifetime experiences

5 U.S. and Swiss evidence

5.1 United States: ANES

- The ANES allows the paper to study U.S. trust in the federal government from 1958 onward.
- The main advantage is a single national context with long time coverage.
- The regressions include state fixed effects or state-by-survey-year fixed effects, generation fixed effects, demographics, economic characteristics, political characteristics, and GDP per capita at birth.

Read: Table III.

- For trust in the federal government, the growth-experience coefficient is 0.049*** in column (1) and 0.047*** with state-by-survey-year fixed effects in column (2).
- For a broader trust-in-government index, the coefficients are 0.034** and 0.035***.
- For trust in others, the coefficients are 0.025 and 0.027, statistically insignificant.
- The U.S. result is economically meaningful: it explains more than two-thirds of the average trust gap between Baby Boomers and Millennials in the paper's discussion.

Interpretation: The ANES result shows that the global finding is not an artifact of comparing many countries or many surveys. It appears within one country over a long historical horizon.

5.2 Alternative economic experiences in the United States and Switzerland

Read: Table IV.

- In the United States, growth experience remains around 0.041–0.048 and significant when controlling for inflation, S&P 500 returns, income inequality, or unemployment experiences.
- U.S. inflation, stock market, inequality, and unemployment experiences are not statistically significant in these specifications.
- In Switzerland, growth experience remains positive and statistically significant, with coefficients around 0.019–0.031.
- Swiss inflation experience is negative and significant, but growth experience remains robust.

Economic message: Growth experience is not simply standing in for other salient macroeconomic histories such as inflation, unemployment, inequality, or asset returns.

TABLE III
TRUST IN THE FEDERAL GOVERNMENT AND GROWTH EXPERIENCES IN THE UNITED STATES

	Trust in the federal government		Trust in government index		Trust in others	
	(1)	(2)	(3)	(4)	(5)	(6)
Growth experience	0.049*** (0.017)	0.047*** (0.017)	0.034** (0.013)	0.035*** (0.013)	0.025 (0.018)	0.027 (0.018)
Observations	31,066	31,059	32,434	32,428	16,139	16,134
R^2	0.123	0.149	0.162	0.189	0.169	0.190
State FE	Yes	No	Yes	No	Yes	No
Survey year FE	Yes	No	Yes	No	Yes	No
Generation FE	Yes	Yes	Yes	Yes	Yes	Yes
State FE $\times$ survey year FE	No	Yes	No	Yes	No	Yes

Notes. Robust standard errors clustered by cohort (year of birth) in parentheses. All coefficients are standardized. All specifications include dummies for individual characteristics: age, sex, marital status, religion, education, ethnicity, and birth state. Additional dummies for economic characteristics include employment status, occupation, income group, and urban location, in addition to dummies for political characteristics, which includes party affiliation and strength of partisan leanings. Generations are categorised as pre-Lost Generation (pre-1883), Lost Generation (1883–1900), Greatest Generation (1901–1927), Silent Generation (1928–1945), Baby Boomers (1946–1964), Gen X (1965–1980), and Millennials (1981–1996). All specifications control for log GDP per capita at year of birth. * $p < .1$, ** $p < .05$, *** $p < .01$.

(a) Table III: U.S. ANES evidence

TABLE IV
TRUST IN THE FEDERAL GOVERNMENT AND ALTERNATIVE ECONOMIC EXPERIENCES

	Trust in the federal government				
	(1)	(2)	(3)	(4)	(5)
Panel A: United States (ANES)					
Growth experience	0.042*** (0.016)	0.048*** (0.017)	0.041** (0.016)	0.046*** (0.016)	0.041*** (0.016)
Inflation experience	−0.026 (0.023)				
S&P 500 return experience		0.007 (0.014)			
Top 10% share income experience			−0.039 (0.030)		
Top 1% share income experience				−0.021 (0.034)	
Unemployment experience					−0.018 (0.017)
Observations	31,066	31,066	31,066	31,066	31,066
R^2	0.123	0.123	0.123	0.123	0.123
Panel B: Switzerland (SHP)					
Growth experience	0.019* (0.011)	0.031*** (0.012)	0.026* (0.013)	0.027** (0.013)	0.027** (0.012)
Inflation experience	−0.106** (0.051)				
Stock market return experience		0.001 (0.010)			
Top 10% share income experience			0.019 (0.031)		
Top 1% share income experience				0.014 (0.032)	
Unemployment experience					0.120 (0.077)
Observations	66,711	66,711	66,711	66,711	66,711
R^2	0.471	0.471	0.471	0.471	0.471

Notes. Robust standard errors are clustered by cohort (year of birth) in Panel A and by household and cohort (year of birth) in Panel B. All coefficients are standardized. Panel A uses the core specification of Table III, column (1). Panel B uses the core specification of Table V, column (1). All “experience” variables (except inflation volatility) are calculated using equation (1) with $\lambda = 1$. “Inflation volatility experience” is calculated as the standard deviation across annual inflation realizations over a respondent’s lifetime since birth. “S&P 500 return experience” uses data from Robert Shiller’s database. “Stock market return experience” for Switzerland comes from Global Financial Data. “Top 10% (1%) share income experience” refers to the pretax share of national income received by the richest 10% (1%). Data for the United States is from the World Inequality Database and is linearly interpolated for pre-1913 values. Data for Switzerland combines information from the Swiss Inequality Database after 1980, and from Schreiner and Gnehm (2013) data from 1890 values. Unemployment data

(b) Table IV: alternative economic experiences

5.3 Switzerland: SHP panel evidence

- The Swiss Household Panel lets the authors follow the same individuals over time.
- This allows individual fixed effects, which absorb all stable person-level traits: baseline political orientation, personality, family background, and stable survey-response tendencies.
- The specifications also use canton fixed effects or canton-by-survey-year fixed effects.

Read: Table V.

- For confidence in the federal government, growth experience is 0.030*** in columns (1) and (2).
- When personal income growth experience is included, macro growth experience remains 0.038**.
- Personal income growth experience is insignificant, around −0.008.
- For interpersonal trust, the growth coefficients are negative but insignificant.

Interpretation: The Swiss evidence supports a macro-political interpretation. Personal income growth is not the key driver; aggregate growth experience is.

TABLE V
TRUST IN THE FEDERAL GOVERNMENT AND GROWTH EXPERIENCES IN SWITZERLAND

	Trust in the federal government				Trust in others			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Growth experience	0.030*** (0.011)	0.030*** (0.011)	0.038** (0.016)	0.038** (0.017)	-0.019 (0.011)	-0.018 (0.011)	-0.015 (0.020)	-0.010 (0.020)
Personal income growth experience			-0.008 (0.012)	-0.008 (0.012)			0.002 (0.011)	0.002 (0.010)
Observations	66,711	66,710	32,857	32,842	56,291	56,291	27,738	27,726
R^2	0.471	0.477	0.488	0.498	0.517	0.521	0.547	0.552
No. of respondents	6,812	6,812	3,848	3,848	6,809	6,809	3,847	3,847
Individual FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Canton FE	Yes	No	Yes	No	Yes	No	Yes	No
Survey year FE	Yes	No	Yes	No	Yes	No	Yes	No
Canton FE $\times$ survey year FE	No	Yes	No	Yes	No	Yes	No	Yes

Notes: Robust standard errors clustered by household and cohort (year of birth) are in parentheses. All coefficients are standardized. All specifications include dummies for individual characteristics: age, marital status, education, employment status, occupation, language of survey, political ideology, and membership of a political party. Columns (1), (2), (3), and (8) also include dummies for the income decile of a respondent, in addition to whether any income data for that respondent in a given year was imputed. Columns (3), (4), (7), and (8) do not include dummies for income decile to avoid absorbing the variation in personal income growth experiences, although we do include a dummy for whether income was imputed for a respondent in that survey year by the SHP. Columns (3), (4), (7), and (8) restrict the sample to respondents aged 18 and older, where income data is available for a larger share of earners. * $p < .1$, ** $p < .05$, *** $p < .01$.

TABLE VI
MODEL FIT FOR DIFFERENT VALUES OF λ

	Global sample (harmonized data set)						U.S. sample (ANES)		Swiss sample (SHP)	
	RSS		β	RSS		β	RSS		β	
	(1)	(2)	(3)	(4)	(5)	(6)				
$\lambda < 0$	$\lambda = -2$	2,923,145	-0.003 [-0.005, 0.000]	27,237	-0.016 [-0.029, -0.003]	35,282	2.411 [-2.274, 7.096]			
	$\lambda = -1$	2,923,138	-0.004 [-0.010, 0.002]	27,234	-0.023 [-0.039, -0.008]	35,282	0.117 [-0.165, 0.400]			
	$\lambda = -0.5$	2,923,159	0.000 [-0.014, 0.015]	27,232	-0.038 [-0.061, -0.015]	35,281	0.064 [-0.022, 0.149]			
	$\lambda = 0$	2,922,876	0.026 [-0.007, 0.058]	27,240	-0.038 [-0.083, 0.007]	35,279	0.035 [0.005, 0.065]			
	$\lambda = 0.5$	2,922,309	0.040 [0.008, 0.071]	27,235	0.045 [0.012, 0.078]	35,278	0.029 [0.007, 0.051]			
$\lambda > 0$	$\lambda = 1$	2,921,913	0.042 [0.013, 0.071]	27,230 [†]	0.049 [0.015, 0.082]	35,277 [†]	0.030 [0.008, 0.053]			
	$\lambda = 2$	2,921,340 [†]	0.045 [0.018, 0.071]	27,235	0.041 [0.010, 0.072]	35,277	0.034 [0.010, 0.058]			

Notes: [†] indicates the parameter value with the minimum residual sum of squares (RSS) across models. Each row refers to specifications for different values of λ to calculate lifetime growth experiences from equation (1). Columns (1) and (2) refer to our global harmonized data set, repeating our core specification from Table I, column (1). Columns (3) and (4) refer to the ANES, repeating our core specification from Table III, column (1). Columns (5) and (6) refer to the SHP, repeating our core specification from Table V, column (1). β refers to the resulting coefficient for lifetime growth experience per specification. 95% confidence intervals per model are outlined in brackets using robust standard errors with respective clustering arrangements outlined in Tables I, III, and V.

6 Which growth experiences matter?

6.1 Recent versus early-life experiences

Read: Table VI.

- The paper varies λ in the lifetime-experience formula.
- Negative λ values, which emphasize growth close to birth, fit poorly and often generate negative coefficients.
- Equal weighting, $\lambda = 0$, performs worse than positive λ values.
- In the global sample, the minimum RSS is at $\lambda = 2$, though $\lambda = 1$ is close and positive.
- In both the U.S. and Swiss samples, the minimum RSS is at $\lambda = 1$.

Economic message: The data support a recency-weighted learning model. People seem to form trust judgments using recent macroeconomic performance, not just childhood economic conditions.

6.2 Formative years

Read: Table VII.

- The paper tests whether growth experienced during ages 18–25 matters in particular.
- The formative-years coefficient is near zero in the global data: 0.001 in columns (1) and (2).
- In the U.S. data, it is also insignificant: 0.009 and 0.010.

- This is inconsistent with a view that political trust is mainly locked in during young adulthood.

Interpretation: The paper does not find a special formative-years channel. Trust in government appears more flexible over the life cycle.

6.3 Pre-birth placebo

Read: Table VIII.

- The paper tests growth before birth in 5-, 10-, and 15-year windows.
- Global coefficients are -0.001 , 0.001 , and 0.000 .
- U.S. coefficients are 0.005 , 0.004 , and 0.022 , also not significant.
- The null placebo result supports the timing interpretation: growth must be experienced by the respondent.

Economic message: The pre-birth placebo addresses the concern that the results are just picking up country-cohort background trends unrelated to lived experience.

TABLE VII
FORMATIVE YEARS GROWTH EXPERIENCE AND TRUST IN GOVERNMENT

	Trust in government		Trust in the federal government	
	(1)	(2)	(3)	(4)
Formative years growth experience	0.001 (0.002)	0.001 (0.003)	0.009 (0.006)	0.010 (0.006)
Observations	2,574,097	1,362,218	27,020	27,012
R^2	0.125	0.123	0.127	0.157
Geographic unit FE	Country	Country	State	State $\times$ survey year
Survey year FE	No	Yes	Yes	No
Survey year FE $\times$ survey FE	Yes	No	N/A	N/A
Subcontinent FE $\times$ cohort FE	Yes	Yes	N/A	N/A
Generation FE	No	No	Yes	Yes
Sample	Harmonized	Gallup	ANES	ANES

Notes. Robust standard errors are clustered at the country level for columns (1) and (2) in parentheses. Robust standard errors are clustered by cohort (year of birth) for columns (3) and (4) in parentheses. All coefficients are standardized. Geographic unit FE refers to dummies at the country-level for columns (1) and (2) and the state or state $\times$ survey-year level for columns (3) and (4). The formative years experience is an unweighted average of growth realizations between ages 18–25, with zero weights on all other age periods. The sample only includes respondents at least 26 years or older. All specifications include dummies for individual characteristics covering age, sex, marital status, religion, and education, with additional dummies for ethnicity and birth state in columns (3) and (4). In columns (3) and (4), we also include dummies for economic characteristics—employment status, occupation, income group, and urban location—in addition to dummies for political characteristics, covering party affiliation and strength of partisan leanings. All specifications control for log GDP per capita at year of birth.

* $p < .1$, ** $p < .05$, *** $p < .01$.

TABLE VIII
PRE-BIRTH GROWTH EXPERIENCES

	Trust in government			Trust in the federal government		
	(1)	(2)	(3)	(4)	(5)	(6)
Pre-birth growth experience [5 years]	−0.001 (0.003)			0.005 (0.008)		
Pre-birth growth experience [10 years]		0.001 (0.004)			0.004 (0.009)	
Pre-birth growth experience [15 years]			0.000 (0.006)			0.022 (0.013)
Observations	3,265,423	3,186,456	3,101,390	31,066	31,066	31,066
R^2	0.124	0.122	0.121	0.123	0.123	0.123
Geographic unit FE	Country	Country	Country	State	State	State
Sample	Harmonized	Harmonized	Harmonized	ANES	ANES	ANES

Notes. Robust standard errors are clustered at the country level for columns (1)–(3) in parentheses. Robust standard errors are clustered by cohort (year of birth) for columns (4)–(6) in parentheses. All coefficients are standardized. “Pre-birth growth experiences” refers to the (unweighted) average of experienced growth in the t number of years before birth (in brackets). The sample only includes respondents with complete information on pre-birth growth rates across the 8 number of years before birth. Geographic unit FE refers to dummies at the country level for columns (1)–(3) and the state level for columns (4)–(6). All specifications include dummies for individual characteristics covering age, sex, marital status, religion, and education, with additional dummies for ethnicity and birth state in columns (4)–(6). In columns (4)–(6), we also include dummies for economic characteristics—employment status, occupation, income group, and urban location—in addition to dummies for political characteristics, covering party affiliation and strength of partisan leanings. All specifications control for log GDP per capita at year of birth. * $p < .1$, ** $p < .05$, *** $p < .01$.

(a) Table VII: formative-years growth experience

(b) Table VIII: pre-birth placebo growth

6.4 Salient growth episodes

Read: Table IX.

- Negative growth episodes reduce trust in the global data: -0.054^{***} .
- In the U.S. data, negative growth episodes are also negative: -0.047^{**} .
- Rare disasters are negative in the U.S. sample: -0.070^* .
- Growth accelerations are positive in the U.S. and Swiss samples: 0.059^{**} and 0.169^{**} .

Interpretation: People appear to respond to large, salient growth events. Deep downturns scar political trust; accelerations can build it.

6.5 The 2008 financial crisis event study

Read: Figure VII.

- The paper studies countries with sustained negative growth after the 2008 financial crisis.
- By the third post-treatment year, countries with three consecutive years of negative growth experience roughly a 10 percentage point fall in aggregate trust in government.
- The authors show results using fixed effects, interactive fixed effects, and matrix completion imputation.
- The figure shows little evidence of pre-trends, supporting the interpretation of post-crisis negative growth as a trust-damaging shock.

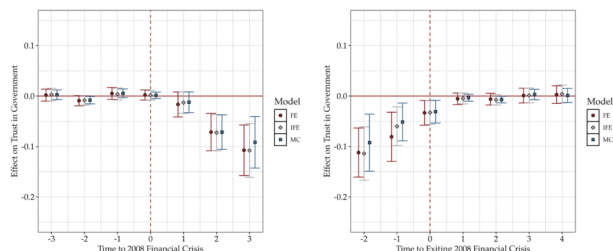
Economic message: This exercise complements the lifetime cohort design. It shows that aggregate trust also falls after large recent macroeconomic disappointments.

TABLE IX
TRUST IN GOVERNMENT AND SALIENT GROWTH EXPERIENCES

	Trust in government	Trust in the federal government	
	(1)	(2)	(3)
Negative growth episode	-0.054*** (0.015)	-0.047** (0.019)	-0.008 (0.012)
Rare disaster	-0.023 (0.018)	-0.070* (0.042)	0.043 (0.051)
Growth acceleration	0.014 (0.021)	0.059** (0.025)	0.169** (0.069)
Observations	3,339,837	31,066	66,711
Geographic unit FE	Country	State	Canton
Sample	Harmonized	ANES	SHP

Notes. Each row refers to different regressions. Robust standard errors in parentheses are clustered by country in column (1), cohort (year of birth) in column (2), and household and cohort (year of birth) in column (3). All coefficients are standardized. Column (1) uses the core specification from Table I, column (1). Column (2) uses the core specification from Table III, column (1). Column (3) uses the core specification from Table V, column (1). Due to extreme skew in column (3), we winsorize lifetime experiences with rare disasters at the 99% level. * $p < .1$, ** $p < .05$, *** $p < .01$.

(a) Table IX: salient growth experiences



(b) Figure VII: 2008 financial crisis event study

7 The trust paradox and institutions

7.1 Descriptive trust paradox

Read: Figure VIII.

- The figure relates trust in government to executive constraints and GDP per capita.
- More democratic/institutionally constrained settings tend to have lower average trust in government.
- This contrasts with growth, where stronger growth is associated with higher trust.

Interpretation: The paradox is that democracies may produce citizens who are more skeptical of government, even though democratic institutions are often linked to better long-run performance and accountability.

7.2 Lifetime institutional experiences

Read: Figure IX.

- The paper constructs lifetime experiences with democracy, electoral democracy, free and fair elections, judicial constraints, legislative constraints, freedom of expression, and media freedom.
- Growth experience remains positive after including these institutional experiences.
- Democratic institutional experiences are generally negative for trust in government.

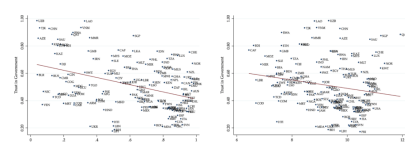
Economic message: Institutional openness may create more scrutiny, skepticism, and dissatisfaction with government. Yet economic performance still builds trust even in these contexts.

7.3 Regime heterogeneity

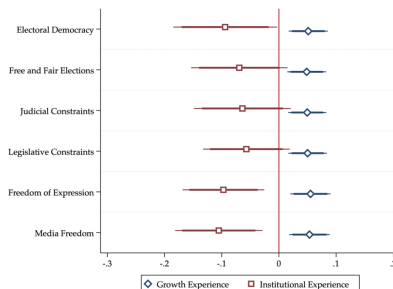
Read: Table X.

- In permanent democracies, growth experience is 0.078*** or 0.086***.
- Democracy experience itself is negative in the democratic sample: -0.105^{***} .
- Among regime switchers, growth experience remains positive: about $0.044^* - 0.046^*$.
- Among permanent autocracies, growth experience is 0.058^* .
- The growth effect is largest in democracies, even though average trust in government is lower there.

Interpretation: Democracies may transmit information about economic performance more credibly, making citizens more responsive to genuine growth outcomes. Autocracies may suppress information or inflate claims, muting the connection between actual growth and trust.



(a) Figure VIII: trust paradox



(b) Figure IX: institutional lifetime experiences

TABLE X
TRUST IN GOVERNMENT, GROWTH EXPERIENCES, AND DEMOCRATIC EXPERIENCES BY REGIME

	Trust in government				
	Democracies		Switchers	Autocracies	
	(1)	(2)	(3)	(4)	(5)
Growth experience	0.078*** (0.029)	0.086*** (0.026)	0.044* (0.022)	0.046* (0.023)	0.058* (0.031)
Democracy experience		-0.105*** (0.033)		-0.013 (0.028)	
Observations	1,132,357	1,132,357	1,531,830	1,531,425	672,734
R ²	0.084	0.085	0.116	0.116	0.184
Country FE	Yes	Yes	Yes	Yes	Yes
Survey year FE × survey FE	Yes	Yes	Yes	Yes	Yes
Subcontinent FE × cohort FE	Yes	Yes	Yes	Yes	Yes

Notes. Robust standard errors clustered at the country level are in parentheses. All coefficients are standardized. Democracies refers to countries that have always been democratic since 1990. Autocracies refers to countries that have always been nondemocratic since 1990. Switchers are thus countries that have at some point in their political histories over our period of study transitioned between autocracy and democracy. These are defined using V-Dem's $ix2_regime$ variable. Democracy experience is also defined using this variable, where we assign a dummy for each point in an individual's life where the country was coded as a democracy, and then apply the lifetime experience formula from equation (1) with $\lambda = 1$. All specifications include log GDP per capita at year of birth and dummies for individual characteristics: age, sex, marital status, religious denomination, and education level. * $p < .1$, ** $p < .05$, *** $p < .01$.

(c) Table X: regime heterogeneity

8 Section-by-section detailed reading guide

8.1 Section I: Introduction

- The introduction motivates political trust as a key input into policy compliance, social cohesion, and the state-citizen relationship.
- It argues that economic growth is visible to citizens through jobs, living standards, public goods, infrastructure, and social mobility.
- The key conceptual claim is that citizens attribute at least part of growth performance to government.
- The introduction also distinguishes this paper from the interpersonal-trust literature. The paper does not ask whether trust causes growth; it asks whether growth experiences shape trust in government.

- It previews the main evidence: global survey data, U.S. ANES evidence, Swiss panel evidence, memory-weighting tests, placebo tests, salient shocks, and the trust paradox.

Interpretation: The introduction sets up growth as both an economic outcome and a political signal. Good growth can validate government competence; bad growth can weaken the social contract.

8.2 Section II: Data

- Section II explains the harmonized data construction and the measurement of political trust.
- It explains why survey pooling is feasible by showing consistency of trust averages across surveys.
- It describes additional outcomes used to understand mechanisms: interpersonal trust, institutional trust, corruption perceptions, income comfort, and living-standard satisfaction.
- It introduces Maddison GDP-per-capita data and descriptive cross-country patterns.

Interpretation: The empirical design depends on credible measurement of both trust and growth. This section addresses measurement comparability before moving to causal-style specifications.

8.3 Section III.A: Measuring cohort growth experiences

- This subsection imports the lifetime-experience methodology from Malmendier and Nagel.
- The growth experience variable is a weighted average of annual GDP-per-capita growth since birth.
- The baseline $\lambda = 1$ gives linearly declining weights to older memories.
- The measure varies at the country-by-birth-cohort level, not the individual level, except through survey timing and age.

Interpretation: This is the key treatment-like variable. It converts macroeconomic history into an individual-specific experience based on country, birth year, and survey year.

8.4 Section III.B: Empirical strategy

- The baseline regression controls for country fixed effects, survey-year-by-survey fixed effects, subcontinent-by-cohort fixed effects, age, demographics, and GDP per capita at birth.
- Standard errors are clustered by country in the global analysis.
- The richer specifications add country-by-survey-year and country-by-age fixed effects.
- These controls make the design rely on within-country cross-cohort comparisons and reduce concerns about contemporaneous country shocks.

Interpretation: The empirical strategy is not a pure natural experiment, but it is more credible than cross-country correlations because it asks whether people with different lived growth histories report different political trust.

8.5 Section III.C: Interpretation

- The authors frame the mechanism as experiential learning about government quality.
- Recent experiences may matter either because of cognitive memory decay or because recent growth is more relevant for evaluating the current government.
- The paper remains agnostic about whether the updating is fully rational or psychologically biased.

Interpretation: The main interpretation is not that growth literally proves government competence. It is that citizens perceive and partly attribute growth to government.

8.6 Section III.D: Core findings

- Table I is the main global result.
- The baseline coefficient is positive, statistically significant, and economically meaningful.
- The magnitude is large enough to explain nontrivial cohort trust gaps in countries with divergent growth histories such as India and Italy.
- The result persists under richer fixed effects, although estimates shrink because some recent growth variation is absorbed.

Interpretation: The main result survives the key challenge: separating growth experience from age, country, survey, and cohort trends.

8.7 Section III.E: Robustness and additional outcomes

- The paper checks specification sensitivity, additional controls, survey dropping, survey-year dropping, alternative growth data, and sample splits.
- Alternative outcomes show no relationship with interpersonal trust or religious trust.
- The result is positive for trust in state institutions and negative for perceived corruption.
- Growth experience also improves perceived income comfort and living-standard satisfaction.
- Other lifetime politico-economic experiences do not remove the growth effect.

Interpretation: This section supports the attribution channel: growth changes how people evaluate government, not merely how trusting or optimistic they are in general.

8.8 Section IV.A: United States

- The ANES provides a long U.S. time series from 1958.
- The U.S. analysis keeps national institutions fixed and uses cohort variation over six decades.
- Growth experience raises trust in the federal government and a broader trust-in-government index.
- It does not raise trust in others.
- The estimate explains a large part of the trust difference between Baby Boomers and Millennials.

Interpretation: The U.S. evidence is a powerful external validation because it uses a different data source and a long within-country history.

8.9 Section IV.B: Switzerland

- The Swiss Household Panel follows individuals over time.
- The inclusion of individual fixed effects absorbs stable individual heterogeneity.
- Macro growth experience predicts confidence in the federal government.
- Personal income growth experience does not predict political trust.
- Growth experience again does not predict interpersonal trust.

Interpretation: The Swiss evidence is important because it weakens concerns that omitted stable individual characteristics drive the results.

8.10 Section V: Which experiences matter?

- The paper tests memory models by varying λ .
- Positive λ values fit better than zero or negative values.
- Formative-years growth, defined as ages 18–25, does not matter.
- Pre-birth growth does not matter, serving as a placebo.
- Negative growth episodes, rare disasters, and growth accelerations provide evidence on salient events.
- The 2008 crisis event study shows that sustained negative growth can sharply reduce aggregate trust.

Interpretation: Trust in government is responsive to lived and relatively recent macroeconomic performance. It is not simply fixed by early-life socialization.

8.11 Section VI: A trust paradox?

- Democracies tend to have lower average trust in government than autocracies in the descriptive data.
- Lifetime experiences with democratic institutions are negatively associated with political trust.
- Growth experience remains positive when institutional experiences are included.
- The growth-trust effect is strongest in democracies.

Interpretation: Democracy may encourage skepticism through media freedom, opposition, and accountability. But because information is more credible, growth performance may matter more for trust in democracies.

8.12 Section VII: Conclusion

- The paper concludes that lifetime economic growth experiences are robustly associated with trust in government.
- The result holds globally, in the United States, and in Switzerland.
- Recent experiences matter most.
- The result is political rather than interpersonal.
- The policy message is that sustained low growth can damage trust, potentially undermining compliance and state capacity.

Interpretation: The conclusion ties economic growth to the broader social contract. Growth is not only about income; it also shapes how citizens evaluate the state.

9 Short summary

- Besley, Dann, and Dray study whether economic growth experiences build trust in government.
- They assemble a global harmonized survey data set of about 3.3 million respondents in 166 countries.
- They measure growth experience as a recency-weighted average of GDP-per-capita growth since birth.

- The baseline coefficient is 0.042***: a one-standard-deviation increase in growth experience raises trust in government by about 2.1 percentage points.
- The result is robust to demanding fixed effects and a Gallup-only sample.
- Growth experience does not raise interpersonal trust or religious trust.
- Growth experience raises trust in state institutions, lowers perceived corruption, and improves perceived living standards.
- U.S. ANES data and Swiss SHP panel data replicate the main finding.
- In Switzerland, macro growth matters but personal income growth does not.
- Recent growth experiences fit the data better than early-life or equal-weighted histories.
- Formative-years growth has no detectable effect.
- Pre-birth growth has no detectable effect.
- Negative growth episodes reduce trust; growth accelerations can increase it.
- Sustained negative growth after 2008 sharply reduces aggregate trust.
- The paper documents a trust paradox: democracies have lower average trust than autocracies, but growth has stronger trust-building effects in democracies.

10 Conclusion

10.1 Core conclusion

The paper’s core conclusion is that lifetime economic growth experience is a robust determinant of political trust. People who live through stronger growth are more likely to trust government, and this association is not explained by generic interpersonal trust, religious trust, or broad optimism.

10.2 Economic intuition

Citizens use economic performance as a signal of government quality. They may not observe every policy input, but they observe growth, living standards, corruption perceptions, and economic opportunities. Recent performance receives more weight because it is more memorable and more relevant for evaluating the current state.

10.3 Takeaway

The paper turns growth into a social-contract variable. Growth raises material living standards, but it also builds confidence in government. Conversely, stagnation may weaken political trust and make future reform harder. The trust paradox adds nuance: democracies may foster skepticism, but credible growth performance still builds trust most strongly in democratic settings.